

17 Jun 2026 05:00:00 ET | 20 pages

US Semiconductor Equipment

\$250B Reasons to Stay Long; Lifting PTs on AMAT, LRCX, & KLAC

CITI'S TAKE

We update our bull case WFE to \$145B/\$200B/\$250B in 2026/27/28, align AMAT/LRCX/KLAC estimates to our revised WFE model, and lift PTs to \$710/\$450/\$290 respectively as we roll forward our price targets based on CY28 earnings powers. Incrementally, we are bullish on NAND equipment demand as a widening gap between required DRAM and available supply helps adoption of complementary solutions such as KV cache off-loading.

Introducing 2028 WFE of \$250B — We update our top-down WFE analysis for 2026/2027, and introduce 2028 WFE forecasts based on [Citi's updated hyperscaler capex model](#) of 84%/56%/38% growth in CY26/27/28. We now see bull case WFE of ~\$145Bn/\$200Bn/\$250Bn in 2026/27/28, implying another solid 25% growth in 2028. We are more constructive on 2028 WFE given continued capacity constraints and expansion at both TSMC and memory makers, as well as recent progress at Intel and Samsung foundries.

DRAM Bottleneck is Good for NAND Demand — The rise of agentic AI is driving a structural increase in NAND demand as memory requirements surge and DRAM supply tightens. Multi-step inference workflows are dramatically expanding KV cache footprints, pushing total memory requirements well beyond what high-cost HBM and DRAM can efficiently support, especially in an environment of constrained DRAM supply and elevated pricing. This pressure is already driving architectural trade-offs, as evidenced by report that Nvidia has reduced SoCMM2 DRAM capacity in its Vera Rubin NVL72 systems by roughly 50% due to supply limitations and cost considerations (see [note](#)). This underscores a widening gap between required and available memory, and we are seeing companies accelerating the adoption of complementary solutions as a result, such as KV cache offloading where intermediate model state is shifted to lower-cost, higher-capacity storage tiers. Assuming a modern 150k wspm NAND fab can do ~15EB per year, implies we need 2-4 new greenfield fabs or \$20-40Bn capex, or \$15-\$30Bn NAND WFE to overcome DRAM bottlenecks.

Atif Malik^{AC}

+1-415-951-1892

atif.malik@citi.com

Elizabeth Sun, CFA

+1-212-816-3308

elizabeth.sun@citi.com

															Current Fiscal Year		Next Fiscal Year	
Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time	Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
Applied Materials	AMAT	US\$	568.23	451,152	16 Jun 16:00	1	nc	-	550.00	710.00	24.9	0.3	25.2	Oct-25	13.58	nc	16.54	nc
KLA Corp	KLAC	US\$	237.33	310,018	16 Jun 16:00	1	nc	-	206.40	290.00	22.2	0.3	22.5	Jun-25	3.69	nc	4.99	nc
Lam Research	LRCX	US\$	369.34	461,886	16 Jun 16:00	1	nc	-	315.00	450.00	21.8	0.4	22.2	Jun-25	5.65	nc	7.63	7.69
1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk						ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change												
Source: Citi Research						^Catalyst Watch												

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Earnings Estimates

Company Name	Ticker	Last Rpt Year	Currency	Last Reported Year					Current Fiscal Year					Next Fiscal Year				
				1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
Applied Materials	AMAT	Oct-25	US\$	2.38	2.54	2.85	2.82	10.58	2.96	3.70	3.36	3.56	13.58	3.61	3.96	4.37	4.60	16.54
KLA Corp	KLAC	Jun-25	US\$	0.73	0.64	0.84	0.94	3.15	0.88	0.88	0.94	0.99	3.69	1.10	1.21	1.29	1.39	4.99
Lam Research	LRCX	Jun-25	US\$	0.86	0.91	1.04	1.33	4.13	1.26	1.27	1.47	1.65	5.65	1.73	1.81	1.99	2.16	7.69
Old		Jun-25	US\$	0.86	0.91	1.04	1.33	4.13	1.26	1.27	1.47	1.65	5.65	1.73	1.81	1.98	2.11	7.63

Source: Citi Research

Lifting TPs on AMAT, LRCX, & KLAC

Updated Top-down WFE

We update our top-down WFE analysis for 2026/2027, and introduce 2028 WFE forecasts based on [Citi's updated hyperscaler capex model](#) of 84%/56%/38% growth in CY26/27/28. We now see bull case WFE of ~\$145Bn/\$200Bn/\$250Bn in 2026/27/28, implying another solid 25% growth in 2028. We are now more constructive on 2028 WFE given continued capacity constraints and expansion at both TSMC and memory makers, as well as recent progress at Intel and Samsung foundries. On the foundry side, in addition to the news on Terafab (see our [prior note](#)), Intel foundry is gaining traction at Google and Apple at various capacities, and Samsung is reported to be accelerating Taylor fab and working with Google TPU v10 on memory I/O die at 2nm, as well as in discussion with BYD on 2nm and 4nm autonomous driving chips. The capacity expansion plans and incremental customers engagement at Samsung/Intel all bode well for WFE, and the semi cap companies have been adding capacity for the past few years and will continue to do so to ensure they do not become a bottleneck for the industry.

Figure 1. WFE reaching \$200Bn/\$250Bn in CY27/28

Base								
WFE Mix	2025	2026 Growth	WFE 2026E	2027 Growth	WFE 2027E	2028 Growth	WFE 2028E	2028 WFE Mix
AI	\$ 35	84%	\$ 65	56%	\$ 101	38%	\$ 139	65%
China	\$ 36	0%	\$ 36	0%	\$ 36	0%	\$ 36	17%
Non-AI	\$ 39	0%	\$ 39	0%	\$ 39	0%	\$ 39	18%
Total WFE \$b	\$ 110	27%	\$ 139	26%	\$ 176	22%	\$ 214	
Bull								
WFE Mix	2025	2026 Growth	WFE 2026E	2027 Growth	WFE 2027E	2028 Growth	WFE 2028E	2028 WFE Mix
AI	\$ 35	94%	\$ 68	66%	\$ 113	48%	\$ 167	66%
China	\$ 36	5%	\$ 38	5%	\$ 40	5%	\$ 42	17%
Non-AI	\$ 39	5%	\$ 41	5%	\$ 43	5%	\$ 45	18%
Total WFE \$b	\$ 110	33%	\$ 147	33%	\$ 196	30%	\$ 254	
Bear								
WFE Mix	2025	2026 Growth	WFE 2026E	2027 Growth	WFE 2027E	2028 Growth	WFE 2028E	2028 WFE Mix
AI	\$ 35	74%	\$ 61	46%	\$ 89	28%	\$ 114	64%
China	\$ 36	-5%	\$ 34	-5%	\$ 33	-5%	\$ 31	17%
Non-AI	\$ 39	-5%	\$ 37	-5%	\$ 35	-5%	\$ 33	19%
Total WFE \$b	\$ 110	20%	\$ 132	19%	\$ 157	14%	\$ 178	

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research

DRAM bottleneck is good for NAND demand

The rise of agentic AI is driving a structural increase in NAND demand as memory requirements surge and DRAM supply tightens. Multi-step inference workflows are dramatically expanding KV cache footprints, pushing total memory requirements well beyond what high-cost HBM and DRAM can efficiently support, especially in an environment of constrained DRAM supply and elevated pricing. This pressure is already driving architectural trade-offs, as evidenced by report that Nvidia has reduced SoCMM2 DRAM capacity in its Vera Rubin NVL72 systems by roughly 50% due to supply limitations and cost considerations (see [note](#)). Rather than indicating weaker demand, this underscores a widening gap between required and available memory, and we are seeing companies accelerating the adoption of complementary solutions as a result, such as KV cache offloading (as demonstrated by **Nvidia's CMX** earlier this year), where intermediate model state is shifted to lower-cost, higher-capacity storage tiers. More recently on Jun 15, **AMD acquired MEXT**, which focuses on memory optimization and has developed a predictive memory software solution that makes flash storage appear as DRAM-speed memory, which could expand usable memory capacity and potentially also reduce costs. Moreover, **Apple's AFM 3** announced on Jun 8 also highlighted a new architecture that stores the LLM models in NAND instead of DRAM in order to

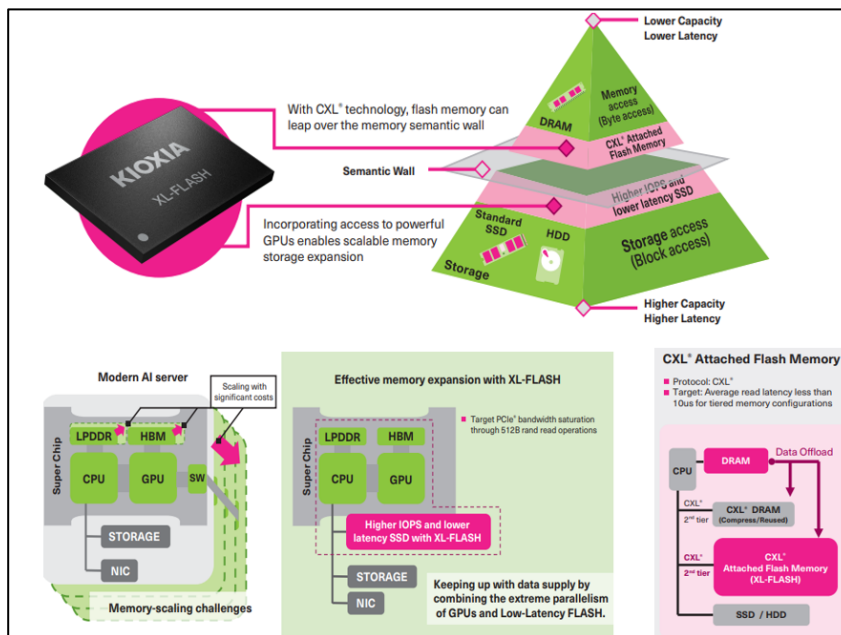
maximizing on-device AI capabilities. Coupled with ongoing innovation in high-performance NAND such as HBF and XL-Flash, we view this transition as structurally positive for NAND demand, as both cloud computing and on-device applications are increasingly rely on NAND to scale capacity, manage costs, and support the growing complexity of agentic AI workloads.

KV Cache offloading - KV cache offloading refers to the architectural technique of dynamically transferring intermediate attention states (key-value tensors) from HBM into lower-cost, higher-capacity tiers such as DRAM and, increasingly, NAND flash, effectively extending the usable memory footprint for LLM inference. As KV cache grows with agentic AI workload, it can quickly overwhelm GPU memory, and offloading mitigates this “memory wall” by creating a hierarchical system in which hot data remains on-GPU with HBM, while colder, less frequently accessed context is migrated to DRAM and further to SSDs and reloaded on demand. This shift directly drives NAND demand because enterprise SSDs become an active inference memory tier rather than passive storage - they are needed to deliver high-throughput, low-latency access to massive, persistent KV datasets that can span petabytes at scale.

Samsung and Micron both talked about their solution of TLC based PCIe Gen6 SSD for such AI workload. Sandisk is in the development of HBF and the timeline has recently been pulled forward by 6 months to 2H 26 pilot line (see [note](#))

Kioxia's XL-Flash – The memory bottleneck is also driving innovation for storage companies. Kioxia's XL-FLASH is a low-latency, high-performance NAND-based flash memory designed to bridge the widening gap between ultra-fast but expensive DRAM and higher-capacity but slower conventional flash, especially for AI workloads. It addresses growing challenges in the memory hierarchy—where DRAM is limited by cost and scalability, and traditional flash cannot deliver memory-like responsiveness—by offering a non-volatile solution that can serve as an intermediate performance tier. XL-FLASH is compatibility with the CXL protocol, which allows flash-based memory to be accessed coherently as an extension of host memory rather than just as storage. Through CXL, XL-FLASH can function as part of a tiered memory architecture, expanding effective system memory at lower cost than DRAM while delivering near-memory performance for certain workloads, helping overcome bottlenecks such as limited memory slots, PCIe bandwidth constraints, and the increasing data demands of GPUs.

Figure 2. Kioxia's XL-Flash



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Kioxia

Raising Estimates on AMAT/LRCX/KLAC

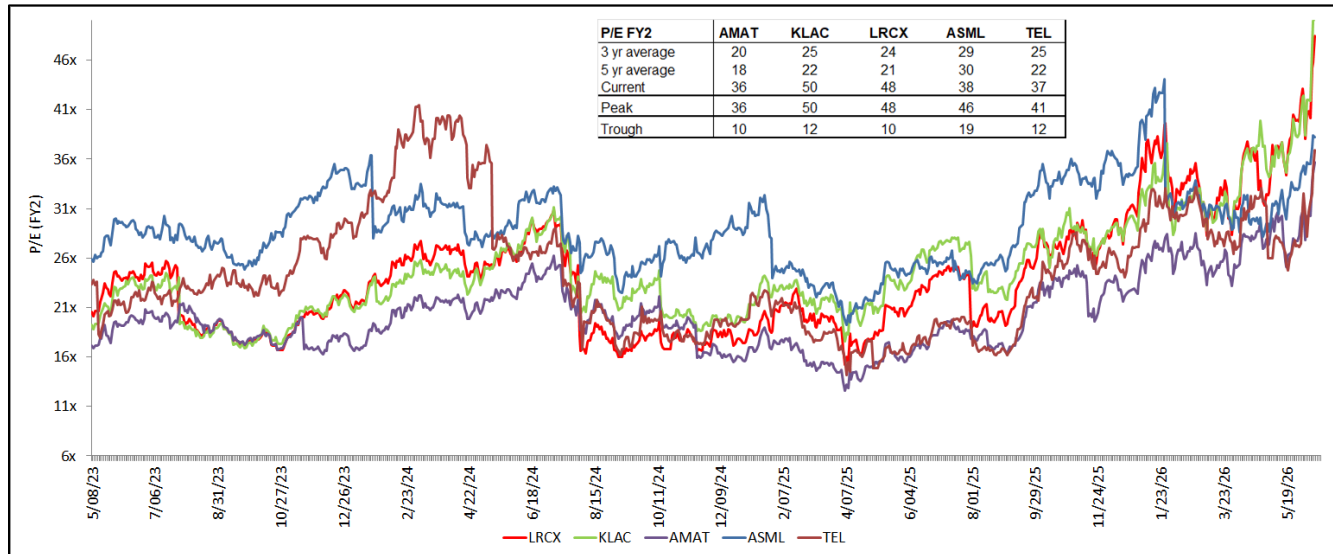
As investor focus shifts beyond 2027 toward 2028, we introduce CY28 estimates for AMAT, LRCX, and KLAC and roll forward our price targets based on CY28 earnings power.

AMAT – We model total revenue growth of 30%/22% Y/Y in CY27/28, including 35%/25% from Silicon, and 14%/13% from AGS. We lift our TP to \$710 from \$550 prior, based on 31x P/E applied to CY28 EPS. The 31x P/E is consistent with our prior valuation and 55% above historical average of 20x on group AI re-rating and extended strong WFE upcycle, but 15% below peak P/E of 36x.

LRCX – We model total revenue growth of 28%/22% Y/Y in CY27/28, including 36%/25% from Systems, and 12%/13% from CSBG. We lift our TP to \$450 from \$315 prior, based on 40x P/E applied to CY28 EPS. The 40x P/E is up from 37x prior, 67% above historical average of 24x on group AI re-rating, extended strong WFE upcycle, and over-indexed NAND exposure, and 15% below peak P/E of 48x.

KLAC – We model total revenue growth of 24%/22% in CY27/28, including 28%/25% from SPC-systems, and 14%/14% for SPC-services, and 15%/15% for EPC. We lift our TP to \$290 from \$206.4 prior, based on 40x P/E applied to CY28 EPS. The 40x P/E is up from 36x prior, 60% above historical average of 25x on group AI re-rating and extended strong WFE upcycle, and 20% below peak P/E of 50x.

Figure 3. Big 5 Semi Cap Historical P/E



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, FactSet

Bull/Bear: Applied Materials Inc (AMAT.O)

US\$ 800.00
▲ 41% Upside

US\$ 710.00
▲ 25% Upside

US\$ 460.00
▼ 19% Downside



Spread 60pp
Current Price and expected returns (upside/downside) as of 16 Jun 2026

BULL Assumptions

- WFE +30%/+40%/30% in 2026/27/28
- Market share gains in 3D logic deposition and etch drive revenue higher
- 35x P/E multiple expansion on faster secular growth

BASE Assumptions

- WFE +25%/+35%/25% in 2026/27/28
- Stable market share in dep and etch in 2026/27
- 31x P/E

BEAR Assumptions

- WFE digest in 2028 due to macro slowdown and slower AI data center investment
- 20x P/E - share loss

Bull/Bear: KLA Corp (KLAC.O)

US\$ **330.00**
▲ 39% Upside

US\$ **290.00**
▲ 22% Upside

US\$ **183.00**
▼ 23% Downside



Spread 62pp
Current Price and expected returns (upside/downside) as of 16 Jun 2026

BULL Assumptions

- WFE +30%/+35%/+30% in 2026/27/28
- 45x P/E - Multiple expansion on share gains in new products and above average WFE growth led by SPC sales

BASE Assumptions

- WFE 25%/+35%/25% in 2026/27/28
- 40x P/E - Stable share and modestly better relative WFE growth

BEAR Assumptions

- WFE digestion in 2028
- 25x P/E - Multiple contraction

Bull/Bear: Lam Research Corp (LRCX.O)

US\$ **510.00**
▲ 38% Upside

US\$ **450.00**
▲ 22% Upside

US\$ **285.00**
▼ 23% Downside



Spread 61pp
Current Price and expected returns (upside/downside) as of 16 Jun 2026

BULL Assumptions

- WFE +25%/40%/30% in 2026/27/28
- Memory market share gains in deposition and etch drive increased revenue opportunity
- P/E 45x multiple expansion on faster secular growth

BASE Assumptions

- WFE +25%/35%/25% in 2026/27/28
- Stable market share in deposition and etch
- P/E 40x 3D devices to drive outsized WFE growth

BEAR Assumptions

- WFE enter into digestion period in 2028
- Slow memory recovery lowers capex spend and limits top and bottom line growth
- P/E 25x - loss in market share in deposition and etch

Applied Materials Inc

Company description

Applied Materials is the leader in materials engineering solutions used to produce virtually every new chip and advanced display in the world. Applied's expertise in modifying materials at atomic levels and on an industrial scale enables customers to transform possibilities into reality.

Investment strategy

We are Buy-rated on AMAT as we see it well exposed to multi-year WFE upcycle and secular megatrends like GAA, advanced packaging, and ICAPS in the next 2-3 years.

Valuation

We value AMAT at \$710 using a 31x P/E multiple on 2028E EPS. We view a 31x multiple, above AMAT's 3-year average multiple of 20x, as appropriate given multi-year WFE upcycle, secular tailwinds, and incremental AI data center investment.

Risks

Downside risks to the achievement of our target price include the following: 1) As fab utilization and capital equipment orders are closely linked to the stock price, any material differences to our supply/demand model (e.g. demand drops suddenly, or supply increases more rapidly than we predict) may cause our valuation methodology to be inaccurate. 2) As the market share leader in multiple sub-segments of semiconductor equipment, AMAT is uniquely positioned to capitalize on inflections as well as face tough competition from large peers in industry cycles.

KLA Corp

Company description

KLA develops industry-leading equipment and services that enable innovation throughout the electronics industry. It provides advanced process control and process-enabling solutions for manufacturing wafers and reticles, integrated circuits, packaging, printed circuit boards, and flat panel displays.

Investment strategy

We are Buy rated on KLAC as a good play on growing process control intensity and AI-driven WFE multi-year upcycle.

Valuation

We value KLAC at \$290 using a 40x P/E multiple on 2028E earnings power. We view a 40x multiple or above 3-year average of 25x on multiple re-rating in the group due to growing AI WFE exposure.

Risks

The key upside/downside risks that could impede the stock from achieving our target price are: 1) lower/higher competition from competitors like AMAT/ASML; 2) foundry inventory correction risk on 10nm/7nm; and 3) fast/slow adoption of new Gen 4/5 and EUV products.

Lam Research Corp

Company description

Lam Research Corporation is a global supplier of innovative wafer fabrication equipment and services to the semiconductor industry. Today, nearly every advanced chip is built with Lam technology.

Investment strategy

We are Buy-rated on LRCX as a good stock play on the 3D devices megatrend in the next 2-3 years and beneficiary of AI-driven data center capex spending with multi-year WFE upcycle.

Valuation

We value LRCX at \$450 using 40x P/E multiple on CY2028 earnings. We view a 40x multiple vs 3-yr average of 24x but below peak of 48x as appropriate given extended WFE cycle, secular AI tailwinds, higher services or one third of total sales contribution, share gains, and rising equipment capital intensity.

Risks

The key downside risks to our investment thesis and target price on LRCX include: 1) increasing competition in deposition and etch; 2) weaker-than-expected overall semi market demand, especially memory; and 3) slower-than-expected demand in China due to US-China trade and IP tensions.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

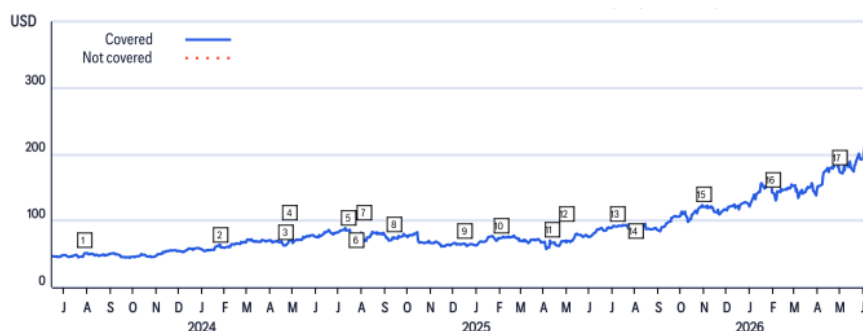
The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

KLA Corp (KLAC)

Ratings and Target Price History
Fundamental Research

Analyst: Atif Malik



	Date	Rating	Target Price	Closing Price
1	28-Jul-23 07:16:00	1	*\$7.00	51.10
2	26-Jan-24 01:30:59	1	*70.00	59.94
3	22-Apr-24 22:36:22	1	*72.50	63.36
4	26-Apr-24 08:20:01	1	*76.00	70.63
5	15-Jul-24 02:30:56	1	*98.00	85.81
6	25-Jul-24 03:09:22	1	*99.00	76.28

*Indicates Change

	Date	Rating	Target Price	Closing Price
7	05-Aug-24 03:23:32	1	*96.00	70.35
8	15-Sep-24 23:50:21	1	*90.00	75.15
9	16-Dec-24 09:56:22	1	*83.20	65.61
10	03-Feb-25 23:43:37	1	*91.00	74.02
11	11-Apr-25 06:00:04	1	*80.00	67.02
12	01-May-25 08:56:44	1	*83.50	67.63

	Date	Rating	Target Price	Closing Price
13	07-Jul-25 01:00:00	1	*103.50	91.26
14	01-Aug-25 02:32:02	1	*106.00	88.66
15	30-Oct-25 06:59:10	1	*145.00	121.44
16	30-Jan-26 09:51:40	1	*180.00	142.79
17	30-Apr-26 13:39:18	1	*206.40	175.04

Rating/target price changes above reflect Eastern Time

Applied Materials Inc (AMAT)

Ratings and Target Price History
Fundamental Research

Analyst: Atif Malik



	Date	Rating	Target Price	Closing Price
1	14-Jul-23 00:06:55	1	*170.00	142.74
2	15-Feb-24 23:57:10	1	*211.00	187.66
3	17-May-24 06:21:39	1	*250.00	212.08
4	05-Aug-24 03:23:32	1	*240.00	181.89
5	15-Sep-24 23:50:21	1	*217.00	188.47
6	16-Dec-24 09:56:22	1	*194.00	169.41

*Indicates Change

	Date	Rating	Target Price	Closing Price
7	14-Feb-25 06:42:05	1	*202.00	169.20
8	11-Apr-25 06:00:04	1	*170.00	144.94
9	15-May-25 22:16:52	1	*190.00	174.75
10	07-Jul-25 01:00:00	1	*220.00	190.78
11	15-Aug-25 00:22:48	1	*205.00	161.76
12	14-Nov-25 03:00:51	1	*250.00	226.01

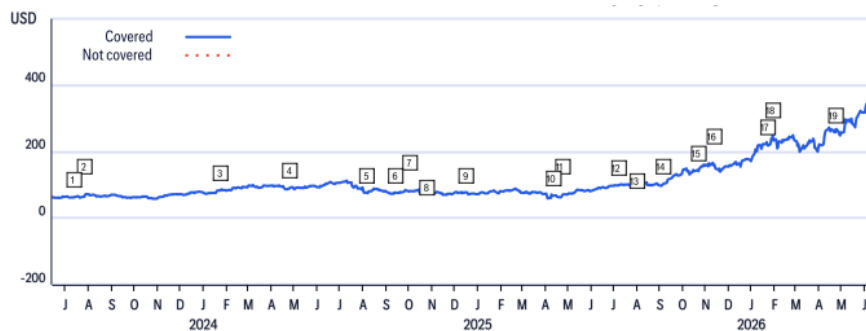
	Date	Rating	Target Price	Closing Price
13	04-Feb-26 05:00:00	1	*400.00	297.60
14	13-Feb-26 00:07:10	1	*420.00	354.91
15	12-May-26 02:05:55	1	*520.00	431.20
16	15-May-26 00:04:20	1	*550.00	436.62

Rating/target price changes above reflect Eastern Time

Lam Research Corp (LRCX)

Ratings and Target Price History Fundamental Research

Analyst: Atif Malik



	Date	Rating	Target Price	Closing Price
1	13-Jul-23 23:05:14	1	*69.50	63.83
2	27-Jul-23 03:53:50	1	*80.00	70.20
3	24-Jan-24 23:16:05	1	*97.50	84.82
4	25-Apr-24 00:26:58	1	*102.50	90.15
5	05-Aug-24 03:23:32	1	*99.00	77.04
6	15-Sep-24 23:50:21	1	*89.30	76.97
7	03-Oct-24 11:44:18	1	*89.30	81.11

	Date	Rating	Target Price	Closing Price
8	24-Oct-24 06:27:53	1	*90.00	76.57
9	16-Dec-24 09:56:22	1	*87.00	77.83
10	11-Apr-25 06:00:04	1	*80.00	67.48
11	24-Apr-25 00:47:29	1	*87.00	70.90
12	07-Jul-25 01:00:00	1	*108.00	98.14
13	31-Jul-25 08:47:20	1	*113.00	94.84
14	07-Sep-25 19:22:39	1	*120.00	102.95

	Date	Rating	Target Price	Closing Price
15	22-Oct-25 23:08:18	1	*175.00	141.25
16	11-Nov-25 09:06:12	1	*190.00	159.18
17	22-Jan-26 02:00:00	1	*265.00	220.70
18	28-Jan-26 22:58:07	1	*300.00	239.58
19	23-Apr-26 00:28:20	1	*315.00	258.56

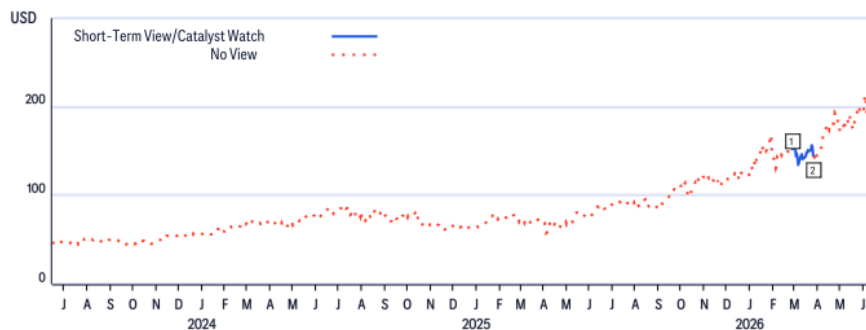
*Indicates Change

Rating/target price changes above reflect Eastern Time

KLA Corp (KLAC)

Short-Term View/Catalyst Watch Research

Analyst: Atif Malik



	Date	Action	Expected Direction	Duration	Closing Price
1	26-Feb-26 00:00:00	Add CW	Upside	30 Days	152.43

	Date	Action	Expected Direction	Duration	Closing Price
2	27-Mar-26 14:05:27	Remove CW	Upside	30 Days	144.32

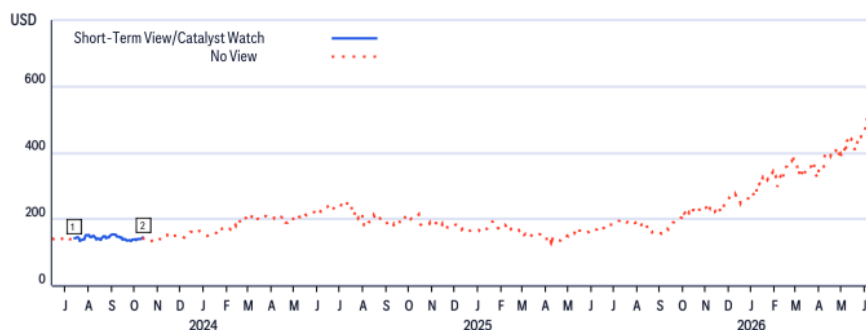
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Applied Materials Inc (AMAT)

Short-Term View/Catalyst Watch Research

Analyst: Atif Malik



	Date	Action	Expected Direction	Duration	Closing Price
1	13-Jul-23 20:55:39	Add CW	Upside	90 Days	142.65

	Date	Action	Expected Direction	Duration	Closing Price
2	12-Oct-23 12:04:49	Remove CW	Upside	90 Days	145.00

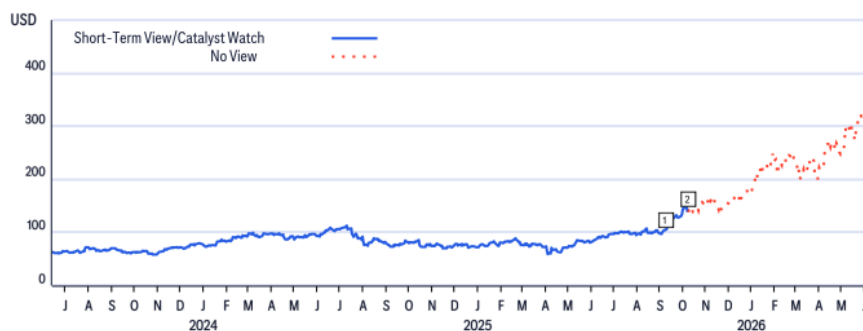
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Lam Research Corp (LRCX)

Short-Term View/Catalyst Watch Research

Analyst: Atif Malik



	Date	Action	Expected Direction	Duration	Closing Price
1	08-Sep-25 01:00:00	Add CW	Upside	30 Days	105.07
2	08-Oct-25 12:20:39	Remove CW	Upside	30 Days	142.54

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Within the past 12 months, Citigroup Global Markets Inc. or its affiliates has acted as manager or co-manager of an offering of securities of Applied Materials Inc.

Citigroup Global Markets Inc. or its affiliates has received compensation for investment banking services provided within the past 12 months from Applied Materials Inc,KLA Corp.

Citigroup Global Markets Inc. or its affiliates expects to receive or intends to seek, within the next three months, compensation for investment banking services from KLA Corp.

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Applied Materials Inc,KLA Corp,Lam Research Corp in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as investment banking client(s): Applied Materials Inc,KLA Corp.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Applied Materials Inc,KLA Corp,Lam Research Corp.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Applied Materials Inc,KLA Corp,Lam Research Corp.

Citigroup Global Markets Inc. and/or its affiliates has a significant financial interest in relation to Applied Materials Inc,KLA Corp,Lam Research Corp. (For an explanation of the determination of significant financial interest, please refer to the policy for managing conflicts of interest which can be found at www.citiVelocity.com.)

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	8%	37%	47%	16%

% of companies in each rating category that are investment banking clients	38%	41%	28%	42%	37%	36%
--	-----	-----	-----	-----	-----	-----

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Inc.

Atif Malik; Elizabeth Sun, CFA

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/epublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine

the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia : This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai – 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvchVlRGltZ2xvc3VyZUh0bWxzL2dkbV9kaXNfc2ViaV9UZXRtc29mVXNlMh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO3002002000000&serviceld=SDISO3002002000>. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities

and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold/Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt,

investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information (e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST
